



The Directors are pleased to announce the audited financial results for the year ended 30 June 2014.

CONSOLIDATED INCOME STATEMENT

	30 June 2014	30 June 2013
	Kshs'000	Restated Kshs'000
Turnover	17,002,302	15,142,017
Operating profit	540,746	313,284
Other income	68,742	101,462
Finance costs	(26,003)	(8,950)
Foreign exchange losses	(15,750)	(16,338)
Profit before taxation	567,735	389,458
Taxation	(184,968)	(124,685)
Profit for the year from continuing operations	382,767	264,773
Profit for the year from discontinuing operations	91,727	73,423
Profit for the year	474,494	338,196
Attributable to :		
Owners	276,040	195,983
Non-controlling interest	198,454	142,213
Basic and diluted earnings per share	474,494	338,196
From continuing operations	Shs 3.03	Shs 1.83
From discontinuing operations	Shs 0.62	Shs 0.76
	Shs 3.65	Shs 2.59

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

FOR THE PERIOD ENDED	30 June 2014	30 June 2013	30 June 2012
	Kshs'000	Restated Kshs'000	Restated Kshs'000
ASSETS			
Non-current assets	2,541,402	2,272,647	1,754,938
Current assets	4,934,209	5,820,205	4,640,963
Assets of disposal group classified as held-for-sale	550,967	15,527	3,928
Total Assets	8,026,578	8,108,379	6,399,829
EQUITY AND LIABILITIES			
Share capital	378,535	378,535	378,535
Reserves	4,308,708	3,912,766	3,589,353
Non-current liabilities	987,381	650,214	463,988
Current liabilities	2,172,392	3,166,864	1,967,953
Liabilities of disposal group classified as held-for-sale	179,562	-	-
Total Equity and Liabilities	8,026,578	8,108,379	6,399,829

COMMENTARY

Turnover increased by 12.3% compared to prior year: gross profit increased by 33%, reflecting volume growth and processing improvements realised in the human nutrition sector. Flour volumes grew by 10.9%; volumes in the animal nutrition and health sector increased by 9.8%.

Overall, profit for the year increased by 40.3% to Shs 474 million (prior year restated Shs 338 million). Following the adoption of the revised IAS 19, prior year figures have been restated to recognize the retrospective accounting based on actuarial valuation of retirement benefit assets where re-measurements have been accounted for in Other Comprehensive Income.

Whilst the Uganda Shilling appreciated against the US Dollar, the Kenya Shilling continued to depreciate resulting in aggregate unrealised foreign exchange losses of Shs 16 million.

Capacity utilisation of the new wheat mill at Commercial Street was optimised to address product availability gaps and to ease pressure on the Eldoret plant.

All five of the group's milling plants in Kenya received ISO 22000-2005 certification during the year. This important achievement will ensure the continued delivery of safe, quality products to the market.

Maize prices remained relatively stable over the first three quarters of the year; scarcity in the fourth quarter caused prices to increase significantly, which has since been eased by inflows from Tanzania. Imported wheat prices showed some volatility in the period, due to the late harvest of Black Sea origin wheat and political instability in the Ukraine. There was shortage in the supply of quality millet and maize throughout the year.

During the year, the group introduced new and attractive packaging and pack designs for Exe®, Hostess®, Afya Bora® minerals and Viminera® feed pre-mixes. Additionally, the operating companies introduced improved layer diets in Kenya, Fugo® feeds in Tanzania, and most recently the Amana® range of pulses in Kenya.

Subsequent to the financial year end, the group completed the sale of its shareholding in Bullpak Limited, a paper packaging company that it owned through its subsidiary Unga Holdings Limited. The group continues to advance its plans to enter the bakery sector.

The Board is pleased to recommend the payment of a first and final dividend of Shs. 0.75 per share, subject to approval by the shareholders at the Annual General Meeting to be held on 2 December 2014.

Subject to the shareholders' approval at the Annual General meeting, the Register of Members will be closed for one day from the close of business on 2 December 2014.

The dividend will be paid on or about 13 January 2015 to the shareholders registered in the books of the Company at the close of business on 2 December 2014.

By order of the Board

W Jumba
Company Secretary

25 September 2014